

\$20,000 a year. To help defray that cost, Johnny will have to work after school and during summer vacation. Thankfully, he's so smart he'll be able to work after school without hurting his grades. And he can borrow money, perhaps under low-rate programs. Once he graduates and starts his high-tech career, he'll be able to pay off even large loans without undue strain.

Finally, you can dig into your retirement stash. If you retired with \$500,000 rather than \$400,000, you can spend your \$100,000 cushion on Johnny's education. And don't forget that your primary responsibility is to move judiciously. Find out which public university Johnny has selected for graduate school and check out its residency requirements. Johnny may be eligible for free or low-cost resident tuition when he works toward his Ph.D.

DO SOME SOUL-SEARCHING

The second part of the three-part formula for very early retirement is, "Do some soul-searching." If you choose to retire young, you give up the American dream of a big house, two cars, and life in the fast lane. You replace the American dream with a life of time and energy to do what you most want to do.

But what about the kids? You're willing to give up the American dream for yourself? Fine. But when you retire young you may be giving it up for your kids as well. They'll go to small-town southern schools rather than Choate, to the University of Texas rather than Radcliffe. They'll enter adult life without much financial support from Mom and Dad. That may hold them back if they want to start a business, for example, or go to graduate school.

If you have kids, very early retirement involves a tradeoff. Retire at age 35 or 40 and you spend more time with your kids when they need you most. You take charge of their education instead of leaving it to others. You know you'll